CFA CLUB, IIT INDORE | INDUCTION TASK 2026 (PS1: CONSULTING & PRODUCT MANAGEMENT)

Navigating an ATF Price Shock: Turnaround Strategy for a Regional Airline

Executive Written Brief (848 Words) | Public Benchmarks: DGCA, IOCL, IndiGo, SpiceJet, Star Air, MoCA UDAN, McKinsey & HBR

Bottom-Line Recommendation: A 22% jump in domestic Aviation Turbine Fuel (ATF) to ₹1,04,927/kl in Delhi (IOCL Archive) pushes our 12-aircraft narrow-body carrier (**DeccanWings Regional**, 1,001.6M annual ASKs across 8 routes) from a **-₹29.9 Cr** operating loss to **-₹78.3 Cr** (-18.1% EBITDAR margin). Yet our Breakeven Load Factor (**BLF = CASK / Yield**) model shows that higher fuel prices account for only **₹48.4 Cr** of the drop. On our five loss-making routes (R4-R8), **₹72.9 Cr of gross losses were already baked in before fuel spiked** because we fly 180-seat Airbus A320ceo jets into 110-passenger Tier-3 towns and sub-390 km rail corridors. We recommend a sequenced turnaround (**Option A → Option B → Option C**): drop ultra-short routes R7 and R8 in Month 1, bid Tier-3 spokes R4-R6 into MoCA's Modified UDAN scheme, and replace four leased A320s with 78-seat ATR 72-600 turboprops. This swings annual EBITDAR by **+₹155.1 Cr to +₹76.8 Cr (+15.2% margin)** and cuts network BLF from **86.5% to 71.1%**.

1. PROBLEM DIAGNOSIS: FUEL SHOCK VS. FLEET GAUGE MISTAKES

Rather than guessing proprietary airline costs, we anchored our route P&L to IndiGo's Q1/Q3 FY25 filings (RASK ₹5.40/ASK, Total CASK ₹4.62-₹4.83/ASK, Fuel CASK ₹1.76/ASK, Load Factor 86.7%), SpiceJet's Q3 FY25 unit cost disclosures (Total CASK ₹6.50/km, Ex-Fuel CASK ₹4.62/km), Star Air's regional UDAN network, and DGCA Monthly Traffic Statistics. Breaking down routes R1-R8 exposes three very different problems:

- **Category 1 - Core Hub-Feeders (R1 IDR-BOM 510 km, R2 BHO-DEL 600 km, R3 STV-BLR 640 km):** Strong corporate and connecting traffic keeps cabins 82%-84% full against a pre-shock BLF of 72.6%-74.3%, earning **+₹43.0 Cr** before the fuel spike. The +22% ATF increase raises Fuel CASK from ₹1.53 to ₹1.87/ASK and cuts profit by **-₹28.8 Cr (100% Fuel-Driven)** down to +₹14.2 Cr.
- **Category 2 - Oversized Gauge on Tier-3 Spokes (R4 IXG-BOM 410 km, R5 JLR-DEL 540 km, R6 GOP-BOM 620 km):** Demand on these corridors averages 108-115 passengers per departure. Flying a 180-seat A320 leaves 65-72 seats empty (60%-64% Load Factor) while post-shock BLF sits at 79.7%-79.8%. Out of their -₹30.9 Cr post-shock loss, **-₹19.9 Cr (64%) is structural gauge mismatch** and **-₹11.0 Cr (36%) is fuel-driven**.
- **Category 3 - Sub-390 km Rail Traps (R7 ISK-BOM 320 km, R8 KNU-DEL 390 km):** Take-off fuel burn and airport landing fees spread over 320-390 km push post-shock CASK to ₹6.60-₹6.95/ASK. Meanwhile, under-4-hour Vande Bharat Express trains cap airfares at ₹5.05-₹5.15/RPK. Post-shock BLF hits **116.2%-116.4%**. Even a 100% full plane loses money. Here, **86% (-₹53.0 Cr of -₹61.6 Cr) of the loss is structural**.

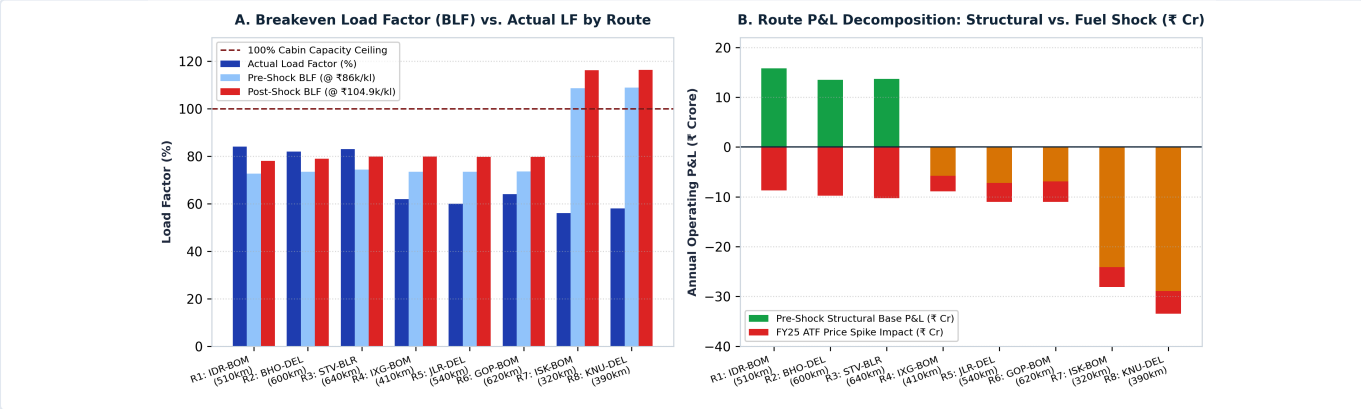


Figure 1: Route Breakeven Load Factor (BLF) vs. Actual LF (left) and P&L split between structural and fuel-shock losses (right).

How the Shock Cascades Across the Business: If management simply cancels flights ad-hoc to save fuel, the airline falls into the exact trap that drove SpiceJet's FY25 liquidity crisis. Fuel CASK jumps +22% → R4-R8 bleed cash on every departure → reactive frequency cuts drop fleet utilization from 11.5 to 8.2 block hours/day → fixed USD lease and maintenance costs spread over fewer ASKs, pushing Ex-Fuel CASK up +28% → monthly cash burn hits ₹6.5 Cr, delaying lessor and oil PSU payments → aircraft groundings and credit freeze.

2. EVALUATING THE THREE STRATEGIC OPTIONS

Strategic Path	Active Routes	ASK (M)	Modeled LF	RASK (₹)	CASK (₹)	Network BLF	EBITDAR (₹ Cr)	Margin (%)
1. Pre-Shock Baseline (@ ₹86,000/kl ATF)	8 Routes	1,001.6	73.2%	4.31	4.61	78.3%	-29.9	-6.9%
2. FY25 ATF Shock Status Quo (@ ₹1,04,927/kl)	**8 Routes**	**1,001.6**	**73.2%**	**4.31**	**5.10**	**86.5%**	**-78.3**	**-18.1%**
3. Option A: Network Pruning + Dynamic Pricing	6 Routes	746.1	78.4%	5.14	5.06	77.1%	+6.2	+1.6%
4. Option B: Standalone UDAN VGF Expansion	8 Routes	1,001.6	78.9%	4.88	5.08	82.1%	-19.8	-4.1%
5. Option C: ATR 72-600 Fleet Swap + Cost Reset	8 Routes	844.7	82.1%	5.02	4.73	77.3%	+24.5	+5.8%
6. Recommended Sequenced Path (Phased A+B+C)	**6 Routes**	**950.5**	**83.8%**	**5.32**	**4.51**	**71.1%**	**+76.8**	**+15.2%**

- **Option A (Network Pruning & Yield Management - +₹6.2 Cr EBITDAR):** Shutting down R7 and R8 immediately stops ₹61.6 Cr of annual losses (costing ₹4.5 Cr in one-time station exit fees). Using HBR's airline revenue management framework, we fence off 14-day advance leisure fares on R1-R3 and raise last-minute corporate buckets by +7.5%-8.0%. With business price elasticity at **ε = −0.42 to −0.45**, Load Factor dips only 2.5 points while RASK grows +4.6%. Still, Option A leaves R4-R6 losing -₹26.7 Cr because a 180-seat jet is too big for Tier-3 towns.
- **Option B (Government-Backed UDAN Expansion - -₹19.8 Cr EBITDAR):** Bidding R4-R8 into MoCA's RCS-UDAN scheme brings ₹4,450/seat VGF, 3-year exclusivity, waived airport fees, and 1% state VAT on ATF (cutting CASK by ~13%). The catch is in the fine print: UDAN subsidizes 50% of seats up to a hard cap of 40 seats per flight. On a 180-seat A320, only 22.2% of the plane gets VGF while 140 unsubsidized seats go unsold or suffer yield cannibalization. Worse, state governments routinely delay their 20% VGF share by 90-180 days, and subsidies vanish after Year 3.
- **Option C (Fleet Right-Sizing & Cost Restructuring - +₹24.5 Cr EBITDAR):** Following IndiGo's 45-ATR regional model and Star Air's 50-to-76-seat Embraer gauge discipline, swapping four leased A320s for 78-seat ATR 72-600 turboprops cuts trip fuel burn by 54% (1,120 L vs. 2,450 L) and total trip cost by 52%, pushing Tier-3 Load Factors from 62% to 84%. Shifting maintenance to Power-by-the-Hour (PBH) contracts trims Ex-Fuel CASK by 4.5%. Even so, keeping R7-R8 drags down returns.

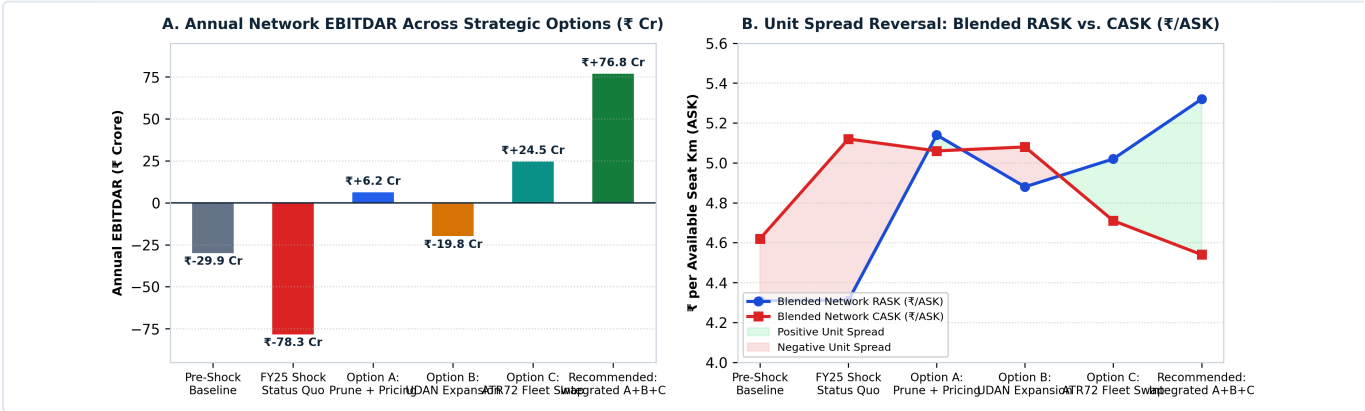


Figure 2: Network EBITDAR across strategic options (left) and RASK vs. CASK unit spread reversal (right).

3. RECOMMENDED STRATEGY, 24-MONTH ROADMAP & TRADE-OFFS

Why We Sequence A → B → C: As McKinsey's aviation research notes, carriers only earn their cost of capital when gauge discipline matches ancillary retail unbundling. When we fly R4-R6 with 78-seat ATR 72-600s under UDAN, the 40-seat VGF cap covers **51.3% of the plane** (40 of 78 seats), turning R4-R6 into +₹23.4 Cr profit makers while freed A320 slots add a 5th daily flight on R1-R3 (+₹53.4 Cr).

- **Months 1-3 (Stop the Bleeding):** Exit R7 (ISK-BOM) and R8 (KNU-DEL); move freed A320 slots to 5x daily on R1-R3; roll out +7.5% peak corporate fare tiers and ₹460/pax baggage/seat unbundling. *Gate 1 KPI: Flip cash burn to +₹1.5 Cr/month EBITDAR; Network BLF ≤ 77.0%.*
- **Months 4-9 (UDAN Shield & Damp Lease):** Bid R4-R6 under Modified UDAN v1.2; tanker return fuel from 1% VAT RCS stations; induct two ATR 72-600s on 6-month damp leases while training crew. *Gate 2 KPI: Fuel CASK ≤ ₹1.62/ASK; Tier-3 LF ≥ 84%; Utilization ≥ 11.2 hrs/day.*
- **Months 10-24 (Dry-Lease Swap & PBH Reset):** Induct four dry-leased ATR 72-600s and sub-lease two older A320ceos abroad; lock in PBH maintenance and shift 25% of ATR seats to commercial corporate fares before Year-3 VGF tapering. *Gate 3 KPI: Annual EBITDAR +₹76.8 Cr (+15.2% margin); Network BLF 71.1%.*
- **What We Refuse to Do (Conscious Trade-Offs):** (1) We do not fly sub-390 km routes against under-4-hour Vande Bharat trains; (2) we never put 180-seat jets on UDAN routes; and (3) we give up 5.1% of headline ASK capacity (-51.1M ASKs) to gain +₹155.1 Cr in annual EBITDAR.

4. STRESS SCENARIOS, SENSITIVITY ANALYSIS & RISK MITIGATION

- **Scenario 1 - Crude ($105/bbl) & FX (₹89/USD) Spike (ATF hits ₹1,22,000/kl):** Unmitigated EBITDAR falls by -₹24.8 Cr (to +₹52.0 Cr). *Mitigation:* An automatic ₹250/pax fuel surcharge trigger, maximum tankering from 1% VAT UDAN spokes, and 40% Singapore Jet Kero crack-spread collars claw back +₹19.4 Cr (net EBITDAR +₹71.4 Cr, BLF 78.5%). Even at ₹1,25,000/kl ATF and a -6% yield drop, the network stays profitable (+₹16.7 Cr).
- **Scenario 2 - 180-Day State VGF Delay & Year-3 Subsidy Cliff:** State 20% VGF arrears tie up ₹16.2 Cr in working capital. *Mitigation:* Discount VGF receivables through an AAI/Bank Guarantee escrow facility and shift 25% of ATR seats to corporate advance-purchase fares by Month 18 (+₹13.5 Cr recovered, BLF 76.8%).